

**SUBSTITUTE FOR
SENATE BILL NO. 301**

A bill to amend 1967 PA 281, entitled
"Income tax act of 1967,"
by amending sections 30 and 623 (MCL 206.30 and 206.623), section
30 as amended by 2025 PA 24 and section 623 as amended by 2021 PA
135, and by adding sections 279 and 679.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 30. (1) "Taxable income" means, for a person other than a
2 corporation, estate, or trust, adjusted gross income as defined in
3 the internal revenue code subject to the following adjustments
4 under this section:

5 (a) Add gross interest income and dividends derived from
6 obligations or securities of states other than Michigan, in the
7 same amount that has been excluded from adjusted gross income less



1 related expenses not deducted in computing adjusted gross income
2 because of section 265(a)(1) of the internal revenue code.

3 (b) Add taxes on or measured by income to the extent the taxes
4 have been deducted in arriving at adjusted gross income including
5 any direct or indirect allocated share of taxes paid by a flow-
6 through entity under part 4.

7 (c) Add losses on the sale or exchange of obligations of the
8 United States government, the income of which this state is
9 prohibited from subjecting to a net income tax, to the extent that
10 the loss has been deducted in arriving at adjusted gross income.

11 (d) Deduct, to the extent included in adjusted gross income,
12 income derived from obligations, or the sale or exchange of
13 obligations, of the United States government that this state is
14 prohibited by law from subjecting to a net income tax, reduced by
15 any interest on indebtedness incurred in carrying the obligations
16 and by any expenses incurred in the production of that income to
17 the extent that the expenses, including amortizable bond premiums,
18 were deducted in arriving at adjusted gross income.

19 (e) Deduct, to the extent included in adjusted gross income,
20 the following:

21 (i) Compensation, including retirement or pension benefits,
22 received for services in the Armed Forces of the United States.

23 (ii) Retirement or pension benefits under the railroad
24 retirement act of 1974, 45 USC 231 to 231v.

25 (iii) Retirement or pension benefits received for services in
26 the Michigan National Guard.

27 (f) Deduct the following to the extent included in adjusted
28 gross income subject to the limitations and restrictions set forth
29 in subsection (9), (10), or (11), as applicable:



1 (i) Retirement or pension benefits received from a federal
2 public retirement system or from a public retirement system of or
3 created by this state or a political subdivision of this state.

4 (ii) Retirement or pension benefits received from a public
5 retirement system of or created by another state or any of its
6 political subdivisions if the income tax laws of the other state
7 permit a similar deduction or exemption or a reciprocal deduction
8 or exemption of a retirement or pension benefit received from a
9 public retirement system of or created by this state or any of the
10 political subdivisions of this state.

11 (iii) Social Security benefits as defined in section 86 of the
12 internal revenue code.

13 (iv) Beginning on and after January 1, 2007, retirement or
14 pension benefits not deductible under subparagraph (i) or
15 subdivision (e) from any other retirement or pension system or
16 benefits from a retirement annuity policy in which payments are
17 made for life to a senior citizen, to a maximum of \$42,240.00 for a
18 single return and \$84,480.00 for a joint return. The maximum
19 amounts allowed under this subparagraph shall be reduced by the
20 amount of the deduction for retirement or pension benefits claimed
21 under subparagraph (i) or subdivision (e) and by the amount of a
22 deduction claimed under subdivision (p). For the 2008 tax year and
23 each tax year after 2008, the maximum amounts allowed under this
24 subparagraph shall be adjusted by the percentage increase in the
25 United States Consumer Price Index for the immediately preceding
26 calendar year. The department shall annualize the amounts provided
27 in this subparagraph as necessary.

28 (v) The amount determined to be the section 22 amount eligible
29 for the elderly and the permanently and totally disabled credit



provided in section 22 of the internal revenue code.

(g) Adjustments resulting from the application of section 271.

(h) Adjustments with respect to estate and trust income as provided in section 36.

(i) Adjustments resulting from the allocation and apportionment provisions of chapter 3.

(j) Deduct the following payments made by the taxpayer in the tax year:

(i) The amount of a charitable contribution made to the advance tuition payment fund created under section 9 of the Michigan education trust act, 1986 PA 316, MCL 390.1429.

(ii) The amount of payment made under an advance tuition payment contract as provided in the Michigan education trust act, 1986 PA 316, MCL 390.1421 to 390.1442.

(iii) The amount of payment made under a contract with a private sector investment manager that meets all of the following criteria:

(A) The contract is certified and approved by the board of directors of the Michigan education trust to provide equivalent benefits and rights to purchasers and beneficiaries as an advance tuition payment contract as described in subparagraph (ii).

(B) The contract applies only for a state institution of higher education as defined in the Michigan education trust act, 1986 PA 316, MCL 390.1421 to 390.1442, or a community or junior college in Michigan.

(C) The contract provides for enrollment by the contract's qualified beneficiary in not less than 4 years after the date on which the contract is entered into.

(D) The contract is entered into after either of the following:



1 (I) The purchaser has had the purchaser's offer to enter into
2 an advance tuition payment contract rejected by the board of
3 directors of the Michigan education trust, if the board determines
4 that the trust cannot accept an unlimited number of enrollees upon
5 an actuarially sound basis.

6 (II) The board of directors of the Michigan education trust
7 determines that the trust can accept an unlimited number of
8 enrollees upon an actuarially sound basis.

9 (k) If an advance tuition payment contract under the Michigan
10 education trust act, 1986 PA 316, MCL 390.1421 to 390.1442, or
11 another contract for which the payment was deductible under
12 subdivision (j) is terminated and the qualified beneficiary under
13 that contract does not attend a university, college, junior or
14 community college, or other institution of higher education, add
15 the amount of a refund received by the taxpayer as a result of that
16 termination or the amount of the deduction taken under subdivision
17 (j) for payment made under that contract, whichever is less.

18 (l) Deduct from the taxable income of a purchaser the amount
19 included as income to the purchaser under the internal revenue code
20 after the advance tuition payment contract entered into under the
21 Michigan education trust act, 1986 PA 316, MCL 390.1421 to
22 390.1442, is terminated because the qualified beneficiary attends
23 an institution of postsecondary education other than either a state
24 institution of higher education or an institution of postsecondary
25 education located outside this state with which a state institution
26 of higher education has reciprocity.

27 (m) Add, to the extent deducted in determining adjusted gross
28 income, the net operating loss deduction under section 172 of the
29 internal revenue code.



1 (n) Deduct a net operating loss deduction for the taxable year
2 as determined under section 172 of the internal revenue code
3 subject to the modifications under section 172(b)(2) of the
4 internal revenue code and subject to the allocation and
5 apportionment provisions of chapter 3 for the taxable year in which
6 the loss was incurred.

7 (o) Deduct, to the extent included in adjusted gross income,
8 benefits from a discriminatory self-insurance medical expense
9 reimbursement plan.

10 (p) Beginning on and after January 1, 2007, subject to any
11 limitation provided in this subdivision, a taxpayer who is a senior
12 citizen may deduct to the extent included in adjusted gross income,
13 interest, dividends, and capital gains received in the tax year not
14 to exceed \$9,420.00 for a single return and \$18,840.00 for a joint
15 return. The maximum amounts allowed under this subdivision shall be
16 reduced by the amount of a deduction claimed for retirement or
17 pension benefits under subdivision (e) or a deduction claimed under
18 subdivision (f) (i), (ii), (iv), or (v). For the 2008 tax year and each
19 tax year after 2008, the maximum amounts allowed under this
20 subdivision shall be adjusted by the percentage increase in the
21 United States Consumer Price Index for the immediately preceding
22 calendar year. The department shall annualize the amounts provided
23 in this subdivision as necessary. The deduction under this
24 subdivision is not available to a senior citizen born after 1945.

25 (q) Deduct, to the extent included in adjusted gross income,
26 all of the following:

27 (i) The amount of a refund received in the tax year based on
28 taxes paid under this part and any direct or indirect allocated
29 share of a refund received by a flow-through entity under part 4.



(ii) The amount of a refund received in the tax year based on taxes paid under the city income tax act, 1964 PA 284, MCL 141.501 to 141.787.

(iii) The amount of a credit received in the tax year based on a claim filed under sections 520 and 522 to the extent that the taxes used to calculate the credit were not used to reduce adjusted gross income for a prior year.

(r) Add the amount paid by the state on behalf of the taxpayer in the tax year to repay the outstanding principal on a loan taken on which the taxpayer defaulted that was to fund an advance tuition payment contract entered into under the Michigan education trust act, 1986 PA 316, MCL 390.1421 to 390.1442, if the cost of the advance tuition payment contract was deducted under subdivision (j) and was financed with a Michigan education trust secured loan.

(s) Deduct, to the extent included in adjusted gross income, any amount, and any interest earned on that amount, received in the tax year by a taxpayer who is a Holocaust victim as a result of a settlement of claims against any entity or individual for any recovered asset pursuant to the German act regulating unresolved property claims, also known as Gesetz zur Regelung offener Vermögensfragen, as a result of the settlement of the action entitled *In re: Holocaust victim assets litigation*, CV-96-4849, CV-96-5161, and CV-97-0461 (E.D. NY), or as a result of any similar action if the income and interest are not commingled in any way with and are kept separate from all other funds and assets of the taxpayer. As used in this subdivision:

(i) "Holocaust victim" means a person, or the heir or beneficiary of that person, who was persecuted by Nazi Germany or any Axis regime during any period from 1933 to 1945.



1 (ii) "Recovered asset" means any asset of any type and any
2 interest earned on that asset, including, but not limited to, bank
3 deposits, insurance proceeds, or artwork owned by a Holocaust
4 victim during the period from 1920 to 1945, withheld from that
5 Holocaust victim from and after 1945, and not recovered, returned,
6 or otherwise compensated to the Holocaust victim until after 1993.

7 (t) Deduct all of the following:

8 (i) To the extent not deducted in determining adjusted gross
9 income, contributions made by the taxpayer in the tax year less
10 qualified withdrawals made in the tax year from education savings
11 accounts, calculated on a per education savings account basis,
12 pursuant to the Michigan education savings program act, 2000 PA
13 161, MCL 390.1471 to 390.1486, not to exceed a total deduction of
14 \$5,000.00 for a single return or \$10,000.00 for a joint return per
15 tax year. The amount calculated under this subparagraph for each
16 education savings account shall not be less than zero.

17 (ii) To the extent included in adjusted gross income, interest
18 earned in the tax year on the contributions to the taxpayer's
19 education savings accounts if the contributions were deductible
20 under subparagraph (i).

21 (iii) To the extent included in adjusted gross income,
22 distributions that are qualified withdrawals from an education
23 savings account to the designated beneficiary of that education
24 savings account.

25 (u) Add, to the extent not included in adjusted gross income,
26 the amount of money withdrawn by the taxpayer in the tax year from
27 education savings accounts, not to exceed the total amount deducted
28 under subdivision (t) in the tax year and all previous tax years,
29 if the withdrawal was not a qualified withdrawal as provided in the



1 Michigan education savings program act, 2000 PA 161, MCL 390.1471
2 to 390.1486. This subdivision does not apply to withdrawals that
3 are less than the sum of all contributions made to an education
4 savings account in all previous tax years for which no deduction
5 was claimed under subdivision (t), less any contributions for which
6 no deduction was claimed under subdivision (t) that were withdrawn
7 in all previous tax years.

8 (v) A taxpayer who is a resident tribal member may deduct, to
9 the extent included in adjusted gross income, all nonbusiness
10 income earned or received in the tax year and during the period in
11 which an agreement entered into between the taxpayer's tribe and
12 this state pursuant to section 30c of 1941 PA 122, MCL 205.30c, is
13 in full force and effect. As used in this subdivision:

14 (i) "Business income" means business income as defined in
15 section 4 and apportioned under chapter 3.

16 (ii) "Nonbusiness income" means nonbusiness income as defined
17 in section 14 and, to the extent not included in business income,
18 all of the following:

19 (A) All income derived from wages whether the wages are earned
20 within the agreement area or outside of the agreement area.

21 (B) All interest and passive dividends.

22 (C) All rents and royalties derived from real property located
23 within the agreement area.

24 (D) All rents and royalties derived from tangible personal
25 property, to the extent the personal property is utilized within
26 the agreement area.

27 (E) Capital gains from the sale or exchange of real property
28 located within the agreement area.

29 (F) Capital gains from the sale or exchange of tangible



1 personal property located within the agreement area at the time of
2 sale.

3 (G) Capital gains from the sale or exchange of intangible
4 personal property.

5 (H) All pension income and benefits, including, but not
6 limited to, distributions from a 401(k) plan, individual retirement
7 accounts under section 408 of the internal revenue code, or a
8 defined contribution plan, or payments from a defined benefit plan.

9 (I) All per capita payments by the tribe to resident tribal
10 members, without regard to the source of payment.

11 (J) All gaming winnings.

12 (iii) "Resident tribal member" means an individual who meets all
13 of the following criteria:

14 (A) Is an enrolled member of a federally recognized tribe.

15 (B) The individual's tribe has an agreement with this state
16 pursuant to section 30c of 1941 PA 122, MCL 205.30c, that is in
17 full force and effect.

18 (C) The individual's principal place of residence is located
19 within the agreement area as designated in the agreement under sub-
20 subparagraph (B).

21 (w) Eliminate all of the following:

22 (i) Income from producing oil and gas to the extent included in
23 adjusted gross income.

24 (ii) Expenses of producing oil and gas to the extent deducted
25 in arriving at adjusted gross income.

26 (x) Deduct all of the following:

27 (i) To the extent not deducted in determining adjusted gross
28 income, contributions made by the taxpayer in the tax year less
29 qualified withdrawals made in the tax year from an ABLE savings



1 account, pursuant to the Michigan achieving a better life
2 experience (ABLE) program act, 2015 PA 160, MCL 206.981 to 206.997,
3 not to exceed a total deduction of \$5,000.00 for a single return or
4 \$10,000.00 for a joint return per tax year. The amount calculated
5 under this subparagraph for an ABLE savings account shall not be
6 less than zero.

7 (ii) To the extent included in adjusted gross income, interest
8 earned in the tax year on the contributions to the taxpayer's ABLE
9 savings account if the contributions were deductible under
10 subparagraph (i).

11 (iii) To the extent included in adjusted gross income,
12 distributions that are qualified withdrawals from an ABLE savings
13 account to the designated beneficiary of that ABLE savings account.

14 (y) Add, to the extent not included in adjusted gross income,
15 the amount of money withdrawn by the taxpayer in the tax year from
16 an ABLE savings account, not to exceed the total amount deducted
17 under subdivision (x) in the tax year and all previous tax years,
18 if the withdrawal was not a qualified withdrawal as provided in the
19 Michigan achieving a better life experience (ABLE) program act,
20 2015 PA 160, MCL 206.981 to 206.997. This subdivision does not
21 apply to withdrawals that are less than the sum of all
22 contributions made to an ABLE savings account in all previous tax
23 years for which no deduction was claimed under subdivision (x),
24 less any contributions for which no deduction was claimed under
25 subdivision (x) that were withdrawn in all previous tax years.

26 (z) Deduct, to the extent included in adjusted gross income,
27 compensation received in the tax year pursuant to the wrongful
28 imprisonment compensation act, 2016 PA 343, MCL 691.1751 to
29 691.1757.



(aa) For tax years that begin on and after January 1, 2025, a taxpayer who is a disabled veteran may deduct, to the extent included in adjusted gross income, income reported on a federal income tax form 1099-C that is attributable to the cancellation or discharge of a student loan by the United States Department of Education pursuant to the total and permanent disability discharge program, 34 CFR 685.213. As used in this subdivision, "disabled veteran" means an individual who meets either of the following criteria:

(i) Has been determined by the United States Department of Veterans Affairs to be permanently and totally disabled as a result of military service and entitled to veterans' benefits at the 100% rate.

(ii) Has been rated by the United States Department of Veterans Affairs as individually unemployable.

(bb) For tax years that begin on and after January 1, 2021, and subject to the limitation under this subdivision, deduct, to the extent not deducted in determining adjusted gross income, wagering losses deducted under section 165(d) of the internal revenue code on the taxpayer's federal income tax return for the same tax year. For a nonresident, only wagering losses that are attributable to wagering transactions placed at or through a casino or licensed race meeting located in this state may be deducted and must not exceed the gains on wagering transactions allocated to this state under section 110(2)(d). As used in this subdivision, "casino" and "licensed race meeting" mean those terms as defined in section 110.

(cc) Except as otherwise provided under subparagraph (i), for tax years that begin on and after January 1, 2022, deduct all of



1 the following:

2 (i) To the extent not deducted in determining adjusted gross
3 income, contributions made by the taxpayer in the tax year less
4 qualified withdrawals made in the tax year from a first-time home
5 buyer savings account, pursuant to the Michigan first-time home
6 buyer savings program act, 2022 PA 6, MCL 565.1001 to 565.1013, not
7 to exceed a total deduction of \$5,000.00 for a single return or
8 \$10,000.00 for a joint return per tax year. The amount calculated
9 under this subparagraph for a first-time home buyer savings account
10 shall not be less than zero. The deduction under this subparagraph
11 does not apply for tax years that begin after December 31, 2026.

12 (ii) To the extent not deducted in determining adjusted gross
13 income, interest earned in the tax year on the contributions to the
14 taxpayer's first-time home buyer savings account.

15 (iii) To the extent included in adjusted gross income,
16 distributions that are qualified withdrawals from a first-time home
17 buyer savings account to the qualified beneficiary of that savings
18 account.

19 (dd) For tax years that begin on and after January 1, 2022,
20 add, to the extent not included in adjusted gross income, the
21 amount of money withdrawn by the taxpayer in the tax year from a
22 first-time home buyer savings account, not to exceed the total
23 amount deducted under subdivision (cc) in the tax year and all
24 previous tax years, if the withdrawal was not a qualified
25 withdrawal as provided in the Michigan first-time home buyer
26 savings program act, 2022 PA 6, MCL 565.1001 to 565.1013. This
27 subdivision does not apply to withdrawals that are less than the
28 sum of all contributions made to a first-time home buyer savings
29 account in all previous tax years for which no deduction was



1 claimed under subdivision (cc), less any contributions for which no
2 deduction was claimed under subdivision (cc) that were withdrawn in
3 all previous tax years.

4 (ee) Subject to the limitations under this subdivision, for
5 tax years beginning after December 31, 2025 and before January 1,
6 2029, deduct, to the extent not deducted in determining adjusted
7 gross income, an amount equal to the sum of the following
8 deductions allowed to be claimed on the taxpayer's federal income
9 tax return for the same tax year:

10 (i) Qualified tips under section 224 of the internal revenue
11 code. For a nonresident, only qualified tips that are attributable
12 to services performed in this state may be deducted.

13 (ii) Qualified overtime compensation under section 225 of the
14 internal revenue code. For a nonresident, only qualified overtime
15 compensation that is attributable to services performed in this
16 state may be deducted.

17 (ff) For tax years beginning after December 31, 2024, adjusted
18 gross income must be calculated as if both of the following
19 conditions applied, subject to any necessary adjustments under
20 subparagraph (iii):

21 (i) Sections 168(n) and 174A of the internal revenue code were
22 not in effect.

23 (ii) Sections 163(j), 168(k), 174, and 179 of the internal
24 revenue code applied as those provisions were in effect on December
25 31, 2024.

26 (iii) The state treasurer shall, if necessary, modify the
27 application of any references in the internal revenue code to the
28 sections identified in subparagraphs (i) and (ii) in a reasonable
29 manner to carry out the purpose of this subdivision, including, but



1 not limited to, modifying the application of section references
2 that were amended under Public Law 119-21.

3 (gg) For tax years beginning after December 31, 2021, adjusted
4 gross income must be calculated as if the transition rules under
5 section 70302 of Public Law 119-21, including, but not limited to,
6 any provisions related to the application of section 174A of the
7 internal revenue code, do not apply.

8 **(hh) Add, to the extent deducted in determining adjusted gross**
9 **income, wages paid for organ donation leave for which a credit**
10 **under section 279 or 679 is claimed for the same tax year.**

11 (2) Except as otherwise provided in subsection (7), and
12 section 30a, a personal exemption of \$3,700.00 multiplied by the
13 number of personal and dependency exemptions shall be subtracted in
14 the calculation that determines taxable income. The number of
15 personal and dependency exemptions allowed shall be determined as
16 follows:

17 (a) Each taxpayer may claim 1 personal exemption. However, if
18 a joint return is not made by the taxpayer and the taxpayer's
19 spouse, the taxpayer may claim a personal exemption for the spouse
20 if the spouse, for the calendar year in which the taxable year of
21 the taxpayer begins, does not have any gross income and is not the
22 dependent of another taxpayer.

23 (b) A taxpayer may claim a dependency exemption for each
24 individual who is a dependent of the taxpayer for the tax year.

25 (c) A taxpayer may claim an additional exemption under this
26 subsection in the tax year for which the taxpayer has a certificate
27 of stillbirth from the department of health and human services as
28 provided under section 2834 of the public health code, 1978 PA 368,
29 MCL 333.2834.



(3) Except as otherwise provided in subsection (7), a single additional exemption determined as follows shall be subtracted in the calculation that determines taxable income in each of the following circumstances:

(a) \$1,800.00 for each taxpayer and every dependent of the taxpayer who is a deaf person as defined in section 2 of the deaf persons' interpreters act, 1982 PA 204, MCL 393.502; a paraplegic, a quadriplegic, or a hemiplegic; a person who is blind as defined in section 504; or a person who is totally and permanently disabled as defined in section 522. When a dependent of a taxpayer files an annual return under this part, the taxpayer or dependent of the taxpayer, but not both, may claim the additional exemption allowed under this subdivision.

(b) For tax years beginning after 2007, \$250.00 for each taxpayer and every dependent of the taxpayer who is a qualified disabled veteran. When a dependent of a taxpayer files an annual return under this part, the taxpayer or dependent of the taxpayer, but not both, may claim the additional exemption allowed under this subdivision. As used in this subdivision:

(i) "Qualified disabled veteran" means a veteran with a service-connected disability.

(ii) "Service-connected disability" means a disability incurred or aggravated in the line of duty in the active military, naval, or air service as described in 38 USC 101(16).

(iii) "Veteran" means an individual who served in the active military, naval, marine, coast guard, or air service and who was discharged or released from the individual's service with an honorable or general discharge.

(4) An individual with respect to whom a deduction under



1 subsection (2) is allowable to another taxpayer during the tax year
2 is not entitled to an exemption for purposes of subsection (2), but
3 may subtract \$1,500.00 in the calculation that determines taxable
4 income for a tax year.

5 (5) A nonresident or a part-year resident is allowed that
6 proportion of an exemption or deduction allowed under subsection
7 (2), (3), or (4) that the taxpayer's portion of adjusted gross
8 income from Michigan sources bears to the taxpayer's total adjusted
9 gross income.

10 (6) In calculating taxable income, a taxpayer shall not
11 subtract from adjusted gross income the amount of prizes won by the
12 taxpayer under the McCauley-Traxler-Law-Bowman-McNeely lottery act,
13 1972 PA 239, MCL 432.1 to 432.47.

14 (7) For each tax year beginning on and after January 1, 2013,
15 the personal exemption allowed under subsection (2) shall be
16 adjusted by multiplying the exemption for the tax year beginning in
17 2012 by a fraction, the numerator of which is the United States
18 Consumer Price Index for the state fiscal year ending in the tax
19 year prior to the tax year for which the adjustment is being made
20 and the denominator of which is the United States Consumer Price
21 Index for the 2010-2011 state fiscal year. For the 2022 tax year
22 and each tax year after 2022, the adjusted amount determined under
23 this subsection shall be increased by an additional \$600.00. The
24 resultant product shall be rounded to the nearest \$100.00
25 increment. For each tax year, the exemptions allowed under
26 subsection (3) shall be adjusted by multiplying the exemption
27 amount under subsection (3) for the tax year by a fraction, the
28 numerator of which is the United States Consumer Price Index for
29 the state fiscal year ending the tax year prior to the tax year for



1 which the adjustment is being made and the denominator of which is
2 the United States Consumer Price Index for the 1998-1999 state
3 fiscal year. The resultant product shall be rounded to the nearest
4 \$100.00 increment.

5 (8) As used in this section, "retirement or pension benefits"
6 means distributions from all of the following:

7 (a) Except as provided in subdivision (d), qualified pension
8 trusts and annuity plans that qualify under section 401(a) of the
9 internal revenue code, including all of the following:

10 (i) Plans for self-employed persons, commonly known as Keogh or
11 HR10 plans.

12 (ii) Individual retirement accounts that qualify under section
13 408 of the internal revenue code if the distributions are not made
14 until the participant has reached 59-1/2 years of age, except in
15 the case of death, disability, or distributions described by
16 section 72(t) (2) (A) (iv) of the internal revenue code.

17 (iii) Employee annuities or tax-sheltered annuities purchased
18 under section 403(b) of the internal revenue code by organizations
19 exempt under section 501(c) (3) of the internal revenue code, or by
20 public school systems.

21 (iv) Distributions from a 401(k) plan attributable to employee
22 contributions mandated by the plan or attributable to employer
23 contributions.

24 (b) The following retirement and pension plans not qualified
25 under the internal revenue code:

26 (i) Plans of the United States, state governments other than
27 this state, and political subdivisions, agencies, or
28 instrumentalities of this state.

29 (ii) Plans maintained by a church or a convention or



1 association of churches.

2 (iii) All other unqualified pension plans that prescribe
3 eligibility for retirement and predetermine contributions and
4 benefits if the distributions are made from a pension trust.

5 (c) Retirement or pension benefits received by a surviving
6 spouse if those benefits qualified for a deduction prior to the
7 decedent's death. Benefits received by a surviving child are not
8 deductible.

9 (d) Retirement and pension benefits do not include:

10 (i) Amounts received from a plan that allows the employee to
11 set the amount of compensation to be deferred and does not
12 prescribe retirement age or years of service. These plans include,
13 but are not limited to, all of the following:

14 (A) Deferred compensation plans under section 457 of the
15 internal revenue code.

16 (B) Distributions from plans under section 401(k) of the
17 internal revenue code other than plans described in subdivision

18 (a) (iv) .

19 (C) Distributions from plans under section 403(b) of the
20 internal revenue code other than plans described in subdivision

21 (a) (iii) .

22 (ii) Premature distributions paid on separation, withdrawal, or
23 discontinuance of a plan prior to the earliest date the recipient
24 could have retired under the provisions of the plan.

25 (iii) Payments received as an incentive to retire early unless
26 the distributions are from a pension trust.

27 (9) Except as otherwise provided in subsection (10) or (11),
28 in determining taxable income under this section, the following
29 limitations and restrictions apply:



1 (a) For a person born before 1946, this subsection provides no
2 additional restrictions or limitations under subsection (1)(f).

3 (b) Except as otherwise provided in subdivision (c), for a
4 person born in 1946 through 1952, the sum of the deductions under
5 subsection (1)(f)(i), (ii), and (iv) is limited to \$20,000.00 for a
6 single return and \$40,000.00 for a joint return. After that person
7 reaches the age of 67, the deductions under subsection (1)(f)(i),
8 (ii), and (iv) do not apply and that person is eligible for a
9 deduction of \$20,000.00 for a single return and \$40,000.00 for a
10 joint return, which deduction is available against all types of
11 income and is not restricted to income from retirement or pension
12 benefits. A person who takes the deduction under subsection (1)(e)
13 is not eligible for the unrestricted deduction of \$20,000.00 for a
14 single return and \$40,000.00 for a joint return under this
15 subdivision.

16 (c) Beginning January 1, 2013 for a person born in 1946
17 through 1952 and beginning January 1, 2018 for a person born after
18 1945 who has retired as of January 1, 2013, if that person receives
19 retirement or pension benefits from employment with a governmental
20 agency that was not covered by the federal social security act, 42
21 USC 301 to 1397mm, the sum of the deductions under subsection
22 (1)(f)(i), (ii), and (iv) is limited to \$35,000.00 for a single return
23 and, except as otherwise provided under this subdivision,
24 \$55,000.00 for a joint return. If both spouses filing a joint
25 return receive retirement or pension benefits from employment with
26 a governmental agency that was not covered by the federal social
27 security act, 42 USC 301 to 1397mm, the sum of the deductions under
28 subsection (1)(f)(i), (ii), and (iv) is limited to \$70,000.00 for a
29 joint return. After that person reaches the age of 67, the



1 deductions under subsection (1)(f)(i), (ii), and (iv) do not apply and
2 that person is eligible for a deduction of \$35,000.00 for a single
3 return and \$55,000.00 for a joint return, or \$70,000.00 for a joint
4 return if applicable, which deduction is available against all
5 types of income and is not restricted to income from retirement or
6 pension benefits. A person who takes the deduction under subsection
7 (1)(e) is not eligible for the unrestricted deduction of \$35,000.00
8 for a single return and \$55,000.00 for a joint return, or
9 \$70,000.00 for a joint return if applicable, under this
10 subdivision.

11 (d) Except as otherwise provided under subdivision (c) for a
12 person who was retired as of January 1, 2013, for a person born
13 after 1952 who has reached the age of 62 through 66 years of age
14 and who receives retirement or pension benefits from employment
15 with a governmental agency that was not covered by the federal
16 social security act, 42 USC 301 to 1397mm, the sum of the
17 deductions under subsection (1)(f)(i), (ii), and (iv) is limited to
18 \$15,000.00 for a single return and, except as otherwise provided
19 under this subdivision, \$15,000.00 for a joint return. If both
20 spouses filing a joint return receive retirement or pension
21 benefits from employment with a governmental agency that was not
22 covered by the federal social security act, 42 USC 301 to 1397mm,
23 the sum of the deductions under subsection (1)(f)(i), (ii), and (iv)
24 is limited to \$30,000.00 for a joint return.

25 (e) Except as otherwise provided under subdivision (c) or (d),
26 for a person born after 1952, the deduction under subsection
27 (1)(f)(i), (ii), or (iv) does not apply. When that person reaches the
28 age of 67, that person is eligible for a deduction of \$20,000.00
29 for a single return and \$40,000.00 for a joint return, which



1 deduction is available against all types of income and is not
2 restricted to income from retirement or pension benefits. For tax
3 years that begin before January 1, 2026 and after December 31,
4 2028, if a person takes the deduction of \$20,000.00 for a single
5 return and \$40,000.00 for a joint return, that person shall not
6 take the deduction under subsection (1)(f)(iii) and shall not take
7 the personal exemption under subsection (2). For tax years that
8 begin before January 1, 2026 and after December 31, 2028, that
9 person may elect not to take the deduction of \$20,000.00 for a
10 single return and \$40,000.00 for a joint return and elect to take
11 the deduction under subsection (1)(f)(iii) and the personal exemption
12 under subsection (2) if that election would reduce that person's
13 tax liability. For tax years that begin on and after January 1,
14 2026 and before January 1, 2029, if a person takes the deduction of
15 \$20,000.00 for a single return or \$40,000.00 for a joint return,
16 that person shall not take the personal exemption under subsection
17 (2). A person who takes the deduction under subsection (1)(e) is
18 not eligible for the unrestricted deduction of \$20,000.00 for a
19 single return and \$40,000.00 for a joint return under this
20 subdivision.

21 (f) For a joint return, the limitations and restrictions in
22 this subsection shall be applied based on the date of birth of the
23 older spouse filing the joint return. If a deduction under
24 subsection (1)(f) was claimed on a joint return for a tax year in
25 which a spouse died and the surviving spouse has not remarried
26 since the death of that spouse, the surviving spouse is entitled to
27 claim the deduction under subsection (1)(f) in subsequent tax years
28 subject to the same restrictions and limitations, for a single
29 return, that would have applied based on the date of birth of the



1 older of the 2 spouses. For tax years beginning after December 31,
2 2019, a surviving spouse born after 1945 who has reached the age of
3 67 and has not remarried since the death of that spouse may elect
4 to take the deduction that is available against all types of income
5 subject to the same limitations and restrictions as provided under
6 this subsection based on the surviving spouse's date of birth
7 instead of taking the deduction allowed under subsection (1)(f),
8 for a single return, based on the date of birth of the older
9 spouse.

10 (10) In determining taxable income under this section, a
11 taxpayer may elect to deduct retirement or pension benefits as
12 provided under subsection (1)(f) with the following limitations and
13 restrictions or elect to apply the limitations and restrictions in
14 subsection (9), or subsection (11) if applicable:

15 (a) For the 2023 tax year, a taxpayer who was born after 1945
16 and before 1959 may deduct an amount of retirement or pension
17 benefits not to exceed 25% of the maximum amount of retirement or
18 pension benefits that the taxpayer would be allowed to deduct for
19 the tax year under subsection (1)(f)(iv) if the taxpayer's
20 retirement or pension benefits were subject to the limitations of
21 that subsection only.

22 (b) For the 2024 tax year, a taxpayer who was born after 1945
23 and before 1963 may deduct an amount of retirement or pension
24 benefits not to exceed 50% of the maximum amount of retirement or
25 pension benefits that the taxpayer would be allowed to deduct for
26 the tax year under subsection (1)(f)(iv) if the taxpayer's
27 retirement or pension benefits were subject to the limitations of
28 that subsection only.

29 (c) For the 2025 tax year, a taxpayer who was born after 1945



1 and before 1967 may deduct an amount of retirement or pension
2 benefits not to exceed 75% of the maximum amount of retirement or
3 pension benefits that the taxpayer would be allowed to deduct for
4 the tax year under subsection (1)(f)(iv) if the taxpayer's
5 retirement or pension benefits were subject to the limitations of
6 that subsection only.

7 (d) For the 2026 tax year and each tax year after 2026, a
8 taxpayer may deduct retirement or pension benefits as provided
9 under subsection (1)(f), except that the amounts deductible under
10 subsection (1)(f)(i) and (ii) combined are subject to the same
11 maximum amounts allowed under subsection (1)(f)(iv) for a single
12 return and a joint return for that same tax year.

13 (e) For a joint return, the limitations and restrictions in
14 this subsection shall be applied based on the date of birth of the
15 older spouse filing the joint return. If a deduction under
16 subsection (1)(f) was claimed on a joint return for a tax year in
17 which a spouse died and the surviving spouse has not remarried
18 since the death of that spouse, the surviving spouse is entitled to
19 claim the deduction under subsection (1)(f) in subsequent tax years
20 subject to the same restrictions and limitations under this
21 subsection, for a single return, that would have applied based on
22 the date of birth of the older of the 2 spouses.

23 (11) For tax years beginning on and after January 1, 2023, in
24 determining taxable income under this section, a taxpayer with
25 retirement or pension benefits received for services as a public
26 police or fire department employee subject to 1969 PA 312, MCL
27 423.231 to 423.247, a state police trooper or state police sergeant
28 subject to 1980 PA 17, MCL 423.271 to 423.287, or a corrections
29 officer employed by a county sheriff in a county jail, work camp,



1 or other facility maintained by a county that houses adult
2 prisoners may elect to deduct retirement or pension benefits as
3 provided under subsection (1)(f) without any additional limitations
4 or restrictions or elect to apply the limitations and restrictions
5 in subsection (9) or (10).

6 (12) As used in this section:

7 (a) "Oil and gas" means oil and gas subject to severance tax
8 under 1929 PA 48, MCL 205.301 to 205.317.

9 (b) "Senior citizen" means that term as defined in section
10 514.

11 (c) "United States Consumer Price Index" means the United
12 States Consumer Price Index for all urban consumers as defined and
13 reported by the United States Department of Labor, Bureau of Labor
14 Statistics.

15 **Sec. 279. (1) Subject to the limitations under this section,**
16 **for tax years beginning on and after January 1, 2026, a qualified**
17 **taxpayer that provides paid organ donation leave to an eligible**
18 **employee may claim a credit against the tax imposed under this part**
19 **in an amount equal to 100% of the wages paid to an eligible**
20 **employee during any period during which the eligible employee is on**
21 **organ donation leave. The maximum amount of organ donation leave**
22 **with respect to any eligible employee for which a credit may be**
23 **claimed under this section must not exceed 12 weeks. The credit**
24 **allowed under this section must be claimed for the tax year in**
25 **which the eligible employee completed use of the paid organ**
26 **donation leave, and for purposes of calculating the amount of the**
27 **credit, the qualified taxpayer may include wages paid during the**
28 **immediately preceding tax year.**

29 (2) For a taxpayer who is a member of a flow-through entity



1 that is a qualified taxpayer that qualifies for the credit under
2 this section, that taxpayer may claim a proportionate share of the
3 credit against the member's tax liability under this part based on
4 the member's distributive share of business income reported from
5 that flow-through entity or an alternative method approved by the
6 department.

7 (3) If the credit allowed under this section for the tax year
8 and any unused carryforward of the credit allowed by this section
9 exceed the qualified taxpayer's tax liability for the tax year,
10 that portion that exceeds the tax liability for the tax year must
11 not be refunded but may be carried forward to offset tax liability
12 in subsequent tax years for 3 years or until used up, whichever
13 occurs first.

14 (4) As used in this section:

15 (a) "Eligible employee" means an employee who has provided the
16 employer with written physician verification that the employee is
17 an organ donor.

18 (b) "Organ donation leave" means that period of absence from
19 employment received by an eligible employee related to the organ
20 donation after all other leave benefits provided to that employee
21 have been exhausted. Organ donation leave may be used by an
22 eligible employee before, during, and after the organ donation.

23 (c) "Organ donor" means an individual who donates, in whole or
24 part, 1 or more of the individual's human organs to another
25 individual to be transplanted using a medical procedure to the body
26 of the other individual.

27 (d) "Qualified taxpayer" means a taxpayer that is an employer
28 that has a written policy offering eligible employees paid organ
29 donation leave that is in addition to any other paid leave benefits



1 policy provided to employees and the rate of payment under that
2 policy for paid organ donation leave is not less than 100% of the
3 wages normally paid to that same employee for services performed
4 for the employer.

5 (e) "Wages" means that term as defined in section 3306(b) of
6 the internal revenue code.

7 Sec. 623. (1) Except as otherwise provided in this part, there
8 is levied and imposed a corporate income tax on every taxpayer with
9 business activity within this state or ownership interest or
10 beneficial interest in a flow-through entity that has business
11 activity in this state unless prohibited by 15 USC 381 to 384. The
12 corporate income tax is imposed on the corporate income tax base,
13 after allocation or apportionment to this state, at the rate of
14 6.0%.

15 (2) The corporate income tax base means a taxpayer's business
16 income subject to the following adjustments, before allocation or
17 apportionment, and the adjustment in subsection (4) after
18 allocation or apportionment:

19 (a) Add interest income and dividends derived from obligations
20 or securities of states other than this state, in the same amount
21 that was excluded from federal taxable income, less the related
22 portion of expenses not deducted in computing federal taxable
23 income because of sections 265 and 291 of the internal revenue
24 code.

25 (b) Add all taxes on or measured by net income including the
26 tax imposed under this part to the extent that the taxes were
27 deducted in arriving at federal taxable income including any direct
28 or indirect allocated share of taxes paid by a flow-through entity
29 under part 4.



1 (c) Add any carryback or carryover of a net operating loss to
2 the extent deducted in arriving at federal taxable income.

3 (d) To the extent included in federal taxable income, deduct
4 dividends and royalties received from persons other than United
5 States persons and foreign operating entities, including, but not
6 limited to, amounts determined under section 78 of the internal
7 revenue code or sections 951 to 965 of the internal revenue code.

8 (e) Except as otherwise provided under this subdivision, to
9 the extent deducted in arriving at federal taxable income, add any
10 royalty, interest, or other expense paid to a person related to the
11 taxpayer by ownership or control for the use of an intangible asset
12 if the person is not included in the taxpayer's unitary business
13 group. The addition of any royalty, interest, or other expense
14 described under this subdivision is not required to be added if the
15 taxpayer can demonstrate that the transaction has a nontax business
16 purpose, is conducted with arm's-length pricing and rates and terms
17 as applied in accordance with sections 482 and 1274(d) of the
18 internal revenue code, and 1 of the following is true:

19 (i) The transaction is a pass through of another transaction
20 between a third party and the related person with comparable rates
21 and terms.

22 (ii) An addition would result in double taxation. For purposes
23 of this subparagraph, double taxation exists if the transaction is
24 subject to tax in another jurisdiction.

25 (iii) An addition would be unreasonable as determined by the
26 state treasurer.

27 (iv) The related person recipient of the transaction is
28 organized under the laws of a foreign nation which has in force a
29 comprehensive income tax treaty with the United States.



(f) To the extent included in federal taxable income, deduct interest income derived from United States obligations.

(g) Eliminate all of the following:

(i) Income from producing oil and gas to the extent included in federal taxable income.

(ii) Expenses of producing oil and gas to the extent deducted in arriving at federal taxable income.

(h) For a qualified taxpayer, eliminate all of the following:

(i) Income derived from a mineral to the extent included in federal taxable income.

(ii) Expenses related to the income deductible under subparagraph (i) to the extent deducted in arriving at federal taxable income.

(i) Add, to the extent deducted in determining federal taxable income, wages paid for organ donation leave for which a credit under section 279 or 679 is claimed for the same tax year.

(3) For purposes of subsection (2), the business income of a unitary business group is the sum of the business income of each person included in the unitary business group less any items of income and related deductions arising from transactions including dividends between persons included in the unitary business group.

(4) Deduct any available business loss incurred after December 31, 2011. As used in this subsection, "business loss" means a negative business income taxable amount after allocation or apportionment. For purposes of this subsection, a taxpayer that acquires the assets of another corporation in a transaction described under section 381(a)(1) or (2) of the internal revenue code may deduct any business loss attributable to that distributor or transferor corporation. The business loss ~~shall~~**must** be carried

1 forward to the year immediately succeeding the loss year as an
2 offset to the allocated or apportioned corporate income tax base,
3 then successively to the next 9 taxable years following the loss
4 year or until the loss is used up, whichever occurs first.

5 (5) As used in this section, "oil and gas" means oil and gas
6 that is subject to severance tax under 1929 PA 48, MCL 205.301 to
7 205.317.

8 **Sec. 679. (1) Subject to the limitations under this section,**
9 **for tax years beginning on and after January 1, 2026, a qualified**
10 **taxpayer that provides paid organ donation leave to an eligible**
11 **employee may claim a credit against the tax imposed under this part**
12 **in an amount equal to 100% of the wages paid to an eligible**
13 **employee during any period during which the eligible employee is on**
14 **organ donation leave. The maximum amount of organ donation leave**
15 **with respect to any eligible employee for which a credit may be**
16 **claimed under this section must not exceed 12 weeks. The credit**
17 **allowed under this section must be claimed for the tax year in**
18 **which the eligible employee completed use of the paid organ**
19 **donation leave, and for purposes of calculating the amount of the**
20 **credit, the qualified taxpayer may include wages paid during the**
21 **immediately preceding tax year.**

22 (2) If the credit allowed under this section for the tax year
23 and any unused carryforward of the credit allowed by this section
24 exceed the qualified taxpayer's tax liability for the tax year,
25 that portion that exceeds the tax liability for the tax year must
26 not be refunded but may be carried forward to offset tax liability
27 in subsequent tax years for 3 years or until used up, whichever
28 occurs first.

29 (3) As used in this section:



1 (a) "Eligible employee" means an employee who has provided the
2 employer with written physician verification that the employee is
3 an organ donor.

4 (b) "Organ donation leave" means that period of absence from
5 employment received by an eligible employee related to the organ
6 donation after all other leave benefits provided to that employee
7 have been exhausted. Organ donation leave may be used by an
8 eligible employee before, during, and after the organ donation.

9 (c) "Organ donor" means an individual who donates, in whole or
10 part, 1 or more of the individual's human organs to another
11 individual to be transplanted using a medical procedure to the body
12 of the other individual.

13 (d) "Qualified taxpayer" means a taxpayer that is an employer
14 that has a written policy offering eligible employees paid organ
15 donation leave that is in addition to any other paid leave benefits
16 policy provided to employees and the rate of payment under that
17 policy for paid organ donation leave is not less than 100% of the
18 wages normally paid to that same employee for services performed
19 for the employer.

20 (e) "Wages" means that term as defined in section 3306(b) of
21 the internal revenue code.